projects the ratio to shoot up to 89.3 per cent in 2020, rise to 89.9 per cent in 2021 and then stabilize around this level till 2025.

Is Borrowing for Capital Expenditure Intrinsically Good?

In 2019–20, the government had budgeted a fiscal deficit of Rs 7,03,760 crore while capital expenditure budgeted was only Rs 3,38,569 crore. This is only about 48 per cent of the fiscal deficit. As fiscal deficit represents borrowing, more than half the borrowings, even in terms of budgeting, were spent on consumption expenditure. The situation was similar in 2018–19. Less than half the borrowings were intended to be used for capital expenditure. The actual position is still worse. In 2017–18, the actual amount spent on capital expenditure was Rs 2,63,140 crore of the fiscal deficit of Rs 5,91,062 crore, just 44.5 per cent.

What exactly constitutes capital expenditure of the Government of India? The largest item of capital expenditure in Budget 2019–20 was the provision of Rs 1.03 lakh crore for defence expenditure. While weapons and other means of warfare are extremely important for national security, they don’t raise the productive capacity of the economy. This expenditure is a little less than one-third of the entire capital expenditure. There were funds budgeted for supporting infrastructure construction by government agencies. For instance, equity contribution for metro projects (Rs 17.7 thousand crore), capital contribution to the Railways (Rs 65.8 thousand crore), capital works of national highways (Rs 36.7 thousand crore) and other roadworks of MoRTH (Rs 35.4 thousand crore) fall in this category and certainly appeared quite justified. The capital outlay of Rs 21.01 lakh crore budgeted for Nuclear Corporation (Rs 3000 crore), FCI (Rs 1000 crore), investments in multilateral financial institutions (Rs 5500 crore), other financial institutions like NIIF (Rs 4000 crore), construction of police housing (Rs 1900 crore under Police Research) and for contribution of Rs